# T-12 OPERATING STATEMENT

Cobalt Marketplace | New Orleans, LA

| | |
|---|---|
| **Property** | Cobalt Marketplace |
| **Period Ending** | July 18, 2026 |
| **Basis** | Accrual - Trailing 12 Months |
| **Prepared By** | Redwood Property Management |
| **Size** | 409,000 SF |

## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4000 Gross Potential Rent | 948,617 | 1,012,204 | 1,013,070 | 968,039 | 981,438 | 1,008,075 | 1,042,913 | 917,937 | 916,982 | 918,316 | 920,035 | 990,339 | 11,637,964 |
| 4010 Loss to Lease | 331,810 | 340,825 | 326,429 | 327,669 | 332,435 | 309,927 | 320,670 | 329,012 | 332,903 | 310,169 | 340,372 | 343,938 | 3,946,157 |
| 4020 Vacancy Loss | 482,052 | 494,306 | 488,476 | 498,786 | 464,916 | 494,682 | 511,073 | 478,627 | 496,332 | 532,516 | 466,192 | 520,568 | 5,928,524 |
| 4030 Concessions | 164,698 | 177,998 | 181,547 | 160,427 | 181,669 | 165,938 | 163,482 | 178,892 | 161,133 | 166,806 | 160,962 | 163,316 | 2,026,870 |
| 4040 Bad Debt | 53,839 | 52,741 | 56,100 | 55,326 | 52,867 | 49,956 | 50,805 | 51,049 | 52,660 | 54,468 | 53,236 | 52,772 | 635,819 |
| 4050 Late Fees | 532,429 | 576,391 | 540,149 | 575,188 | 530,620 | 540,548 | 555,387 | 586,014 | 557,229 | 558,344 | 544,127 | 536,944 | 6,633,369 |
| 4060 Utility Reimbursements | 437,300 | 441,481 | 470,060 | 471,456 | 475,222 | 453,219 | 481,095 | 481,908 | 477,873 | 478,353 | 469,079 | 464,581 | 5,601,625 |
| 4070 Parking Income | 93,550 | 87,397 | 100,028 | 87,599 | 97,016 | 90,140 | 97,174 | 99,527 | 89,176 | 95,454 | 87,817 | 95,884 | 1,120,763 |
| 4080 Application Fees | 262,191 | 263,419 | 262,730 | 280,537 | 263,590 | 264,361 | 248,230 | 277,385 | 268,276 | 261,348 | 274,856 | 275,090 | 3,202,014 |
| 4090 Pet Rent | 152,910 | 148,089 | 159,975 | 165,579 | 154,855 | 149,210 | 149,856 | 156,992 | 152,668 | 167,810 | 168,795 | 159,822 | 1,886,561 |
| 4100 Laundry Income | 204,674 | 201,362 | 204,127 | 189,772 | 203,665 | 192,256 | 186,487 | 191,054 | 195,440 | 180,624 | 199,301 | 181,728 | 2,330,490 |
| 4110 Cable/Internet Revenue | 451,679 | 420,762 | 462,472 | 453,921 | 458,277 | 458,874 | 463,381 | 429,192 | 421,932 | 417,473 | 437,264 | 451,575 | 5,326,803 |
| 4120 CAM Reimbursements | 756,803 | 758,906 | 731,693 | 772,877 | 818,179 | 758,495 | 810,138 | 789,850 | 835,219 | 804,576 | 814,949 | 826,220 | 9,477,905 |
| 4130 Tax Reimbursements | 894,522 | 821,139 | 867,554 | 934,211 | 930,654 | 857,890 | 862,346 | 814,265 | 878,685 | 859,532 | 841,862 | 933,834 | 10,496,495 |
| 4140 Insurance Reimbursements | 649,704 | 648,814 | 638,890 | 691,835 | 654,698 | 680,540 | 655,416 | 649,937 | 698,443 | 683,714 | 666,855 | 659,469 | 7,978,317 |
| 4150 Percentage Rent | 56,846 | 60,037 | 55,625 | 57,331 | 58,442 | 58,537 | 56,093 | 57,203 | 55,719 | 54,285 | 56,532 | 53,107 | 679,758 |
| 4160 Misc. Income | 579,757 | 545,563 | 545,687 | 582,580 | 575,675 | 558,829 | 593,125 | 569,007 | 550,247 | 551,672 | 569,117 | 597,315 | 6,818,573 |
| 4170 Payroll - Management | 70,827 | 79,572 | 76,985 | 76,113 | 78,183 | 75,187 | 70,524 | 77,480 | 73,714 | 75,669 | 76,352 | 70,992 | 901,597 |
| 4180 Payroll - Leasing | 96,017 | 104,600 | 100,365 | 97,177 | 95,417 | 106,228 | 103,840 | 102,029 | 107,167 | 104,761 | 100,034 | 104,937 | 1,222,573 |
| 4190 Payroll - Maintenance | 21,628 | 20,438 | 21,501 | 19,716 | 21,517 | 20,483 | 20,621 | 21,016 | 20,408 | 20,214 | 21,837 | 20,373 | 249,752 |
| 4200 Payroll Taxes & Benefits | 41,560 | 41,511 | 41,741 | 43,291 | 39,943 | 41,027 | 39,326 | 40,188 | 44,652 | 43,967 | 40,826 | 40,970 | 499,003 |
| 4210 Repairs - Plumbing | 123,704 | 111,319 | 114,481 | 123,430 | 119,527 | 109,802 | 117,044 | 112,413 | 119,218 | 113,405 | 120,624 | 115,549 | 1,400,516 |
| 4220 Repairs - HVAC | 32,015 | 33,139 | 31,882 | 33,223 | 34,557 | 35,758 | 34,126 | 32,142 | 35,534 | 33,579 | 32,047 | 32,398 | 400,400 |
| 4230 Repairs - Electrical | 87,869 | 88,169 | 89,449 | 87,567 | 94,774 | 91,611 | 88,550 | 86,905 | 87,867 | 84,648 | 95,727 | 92,235 | 1,075,371 |
| 4240 Repairs - Appliances | 109,662 | 121,850 | 119,027 | 117,521 | 106,446 | 117,233 | 121,866 | 113,379 | 121,058 | 110,912 | 107,396 | 111,841 | 1,378,191 |
| 4250 Painting & Decorating | 40,101 | 37,037 | 36,668 | 38,272 | 38,790 | 36,034 | 39,261 | 40,557 | 40,455 | 35,609 | 36,164 | 38,099 | 457,046 |

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4440 Accounting & Audit | 98,248 | 98,949 | 97,841 | 92,853 | 99,356 | 98,901 | 94,407 | 93,633 | 92,113 | 101,369 | 94,147 | 98,237 | 1,160,051 |
| 4450 Licenses & Permits | 85,966 | 84,092 | 83,654 | 81,395 | 86,888 | 87,883 | 79,300 | 84,234 | 89,899 | 85,126 | 89,393 | 86,143 | 1,023,974 |
| 4460 Management Fee | 32,608 | 35,117 | 36,595 | 36,654 | 36,955 | 32,370 | 34,118 | 33,089 | 36,994 | 36,177 | 36,150 | 32,598 | 419,424 |
| 4470 Property Insurance | 45,765 | 46,423 | 45,834 | 48,277 | 51,746 | 46,481 | 49,629 | 46,815 | 48,868 | 46,087 | 50,109 | 46,304 | 572,339 |
| 4480 Real Estate Taxes | 103,157 | 106,896 | 103,258 | 96,877 | 99,050 | 106,220 | 96,206 | 107,134 | 95,118 | 103,064 | 98,939 | 105,555 | 1,221,476 |
| 4490 Asset Management Fee | 66,058 | 63,359 | 62,621 | 62,053 | 64,523 | 66,526 | 59,998 | 61,606 | 61,600 | 61,278 | 67,222 | 65,373 | 762,216 |
| 4500 Replacement Reserves | 45,031 | 41,375 | 43,915 | 39,268 | 44,603 | 42,965 | 44,388 | 40,460 | 40,811 | 40,792 | 39,452 | 41,960 | 505,020 |
| 4510 Roof Repairs | 98,861 | 94,548 | 103,203 | 102,176 | 94,716 | 99,331 | 99,095 | 93,574 | 103,409 | 99,906 | 94,667 | 104,662 | 1,188,148 |
| 4520 Parking Lot Repairs | 69,482 | 67,072 | 67,420 | 71,062 | 75,155 | 71,864 | 72,811 | 72,674 | 73,397 | 76,018 | 71,907 | 70,756 | 859,619 |
| 4530 Signage | 83,241 | 92,862 | 90,614 | 90,820 | 94,027 | 84,104 | 87,676 | 93,717 | 93,564 | 94,392 | 92,420 | 85,595 | 1,083,029 |
| 4540 Tenant Improvements | 95,270 | 95,893 | 100,940 | 102,179 | 98,351 | 100,489 | 96,502 | 105,058 | 105,558 | 108,681 | 96,459 | 103,151 | 1,208,531 |
| 4550 Leasing Commissions | 77,114 | 79,136 | 72,226 | 75,277 | 74,190 | 74,328 | 76,673 | 75,543 | 75,101 | 79,722 | 70,134 | 69,569 | 899,012 |
| 4000 Gross Potential Rent | 935,962 | 935,260 | 931,575 | 947,600 | 948,536 | 929,633 | 990,462 | 1,031,022 | 938,593 | 919,642 | 990,148 | 969,257 | 11,467,689 |
| 4010 Loss to Lease | 323,175 | 302,919 | 312,675 | 308,353 | 312,417 | 341,037 | 338,152 | 324,798 | 313,452 | 327,098 | 307,522 | 329,885 | 3,841,482 |
| 4020 Vacancy Loss | 417,055 | 411,843 | 402,197 | 404,656 | 430,668 | 400,828 | 386,388 | 429,328 | 418,931 | 378,864 | 387,232 | 395,727 | 4,863,717 |
| 4030 Concessions | 719,043 | 715,327 | 780,332 | 768,361 | 799,179 | 743,094 | 707,673 | 773,805 | 703,229 | 764,845 | 703,429 | 799,613 | 8,977,930 |
| 4040 Bad Debt | 806,887 | 797,173 | 725,654 | 791,534 | 781,537 | 777,380 | 823,063 | 731,160 | 777,215 | 794,972 | 806,896 | 761,357 | 9,374,827 |
| 4050 Late Fees | 104,291 | 107,773 | 110,423 | 114,887 | 110,051 | 113,274 | 110,752 | 107,643 | 107,135 | 106,975 | 106,883 | 104,902 | 1,304,988 |
| 4060 Utility Reimbursements | 274,275 | 296,546 | 295,069 | 281,022 | 292,009 | 291,643 | 266,894 | 291,754 | 280,810 | 262,645 | 288,627 | 271,947 | 3,393,241 |
| 4070 Parking Income | 249,578 | 249,672 | 247,860 | 257,075 | 244,708 | 261,411 | 263,124 | 246,009 | 253,102 | 271,066 | 244,521 | 247,349 | 3,035,475 |
| 4080 Application Fees | 778,979 | 784,382 | 703,800 | 717,780 | 800,592 | 763,125 | 737,875 | 718,602 | 794,173 | 725,748 | 743,018 | 755,229 | 9,023,303 |
| 4090 Pet Rent | 520,494 | 550,119 | 585,850 | 550,081 | 559,592 | 560,934 | 520,134 | 554,048 | 590,943 | 590,947 | 578,399 | 552,057 | 6,713,598 |
| 4100 Laundry Income | 487,612 | 432,466 | 447,008 | 464,806 | 467,226 | 427,512 | 461,136 | 464,637 | 435,516 | 434,318 | 484,446 | 475,185 | 5,481,868 |
| 4110 Cable/Internet Revenue | 324,670 | 312,057 | 305,687 | 306,979 | 305,887 | 301,763 | 293,287 | 330,240 | 333,822 | 294,895 | 315,421 | 323,267 | 3,747,976 |
| 4120 CAM Reimbursements | 522,764 | 526,902 | 525,479 | 535,952 | 471,455 | 468,961 | 513,886 | 487,890 | 476,910 | 498,091 | 494,477 | 535,075 | 6,057,842 |
| 4130 Tax Reimbursements | 249,092 | 223,226 | 234,020 | 235,511 | 227,046 | 225,117 | 223,637 | 247,118 | 250,631 | 248,553 | 222,874 | 225,247 | 2,812,073 |
| 4140 Insurance Reimbursements | 552,919 | 563,592 | 531,908 | 597,083 | 558,753 | 583,184 | 542,501 | 584,209 | 540,064 | 575,946 | 567,840 | 538,971 | 6,736,968 |
| 4150 Percentage Rent | 820,741 | 806,532 | 776,985 | 761,852 | 802,393 | 868,129 | 826,917 | 790,935 | 788,176 | 763,344 | 816,031 | 791,572 | 9,613,607 |
| 4160 Misc. Income | 817,159 | 759,378 | 803,377 | 801,556 | 762,938 | 739,498 | 795,660 | 828,459 | 821,733 | 744,314 | 808,504 | 815,167 | 9,497,743 |
| 4170 Payroll - Management | 25,953 | 27,547 | 26,487 | 28,312 | 28,709 | 27,557 | 25,600 | 25,710 | 25,148 | 26,227 | 26,798 | 27,522 | 321,573 |
| 4180 Payroll - Leasing | 118,108 | 114,110 | 112,030 | 116,754 | 106,042 | 108,900 | 112,273 | 112,100 | 117,784 | 116,782 | 112,270 | 107,556 | 1,354,711 |
| 4190 Payroll - Maintenance | 54,193 | 59,554 | 55,004 | 55,155 | 60,054 | 55,078 | 59,046 | 60,033 | 61,035 | 56,451 | 53,866 | 56,280 | 685,748 |
| 4200 Payroll Taxes & Benefits | 58,343 | 56,436 | 56,514 | 57,476 | 60,118 | 55,945 | 53,984 | 55,887 | 57,970 | 57,778 | 54,951 | 54,320 | 679,724 |
| 4210 Repairs - Plumbing | 115,976 | 118,418 | 123,026 | 114,111 | 112,862 | 113,143 | 116,198 | 124,866 | 118,746 | 123,160 | 119,623 | 124,096 | 1,424,227 |
| 4220 Repairs - HVAC | 93,766 | 103,370 | 94,396 | 91,096 | 92,633 | 104,190 | 92,705 | 104,080 | 91,851 | 96,401 | 99,663 | 99,954 | 1,164,108 |
| 4230 Repairs - Electrical | 78,340 | 80,388 | 85,138 | 86,241 | 88,140 | 80,768 | 86,339 | 81,924 | 83,945 | 84,466 | 78,658 | 85,107 | 999,455 |
| 4240 Repairs - Appliances | 83,719 | 88,908 | 83,417 | 84,294 | 82,632 | 82,474 | 90,454 | 81,899 | 81,887 | 84,994 | 81,744 | 84,461 | 1,010,881 |
| 4250 Painting & Decorating | 18,297 | 19,354 | 18,721 | 18,983 | 19,194 | 17,391 | 18,994 | 19,080 | 18,472 | 18,994 | 19,078 | 18,149 | 224,708 |
| 4260 Flooring | 52,341 | 51,404 | 56,451 | 53,298 | 54,046 | 52,489 | 57,807 | 57,460 | 56,633 | 54,428 | 57,397 | 53,954 | 657,708 |
| 4270 Make-Ready / Turnover | 98,855 | 88,534 | 91,545 | 100,629 | 93,351 | 88,945 | 88,560 | 92,595 | 88,471 | 94,210 | 98,319 | 96,932 | 1,120,945 |
| 4280 Landscaping Contract | 26,634 | 25,076 | 24,092 | 26,349 | 24,810 | 26,462 | 23,965 | 26,537 | 25,105 | 23,930 | 24,566 | 24,737 | 302,265 |
| 4290 Snow Removal | 53,787 | 47,688 | 52,555 | 50,967 | 49,497 | 51,832 | 51,087 | 50,786 | 51,145 | 50,932 | 52,584 | 51,560 | 614,421 |
| 4300 Janitorial | 46,631 | 46,834 | 45,526 | 48,521 | 46,155 | 47,233 | 44,707 | 48,650 | 49,327 | 45,766 | 48,848 | 44,627 | 562,825 |
| 4310 Pest Control | 15,164 | 14,037 | 13,688 | 14,666 | 13,831 | 14,332 | 15,593 | 15,565 | 15,110 | 13,675 | 14,000 | 13,609 | 173,267 |

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## Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. Average rent is $20 per square foot with parking at a ratio of 4 spaces per 1,000 square feet. Debt service coverage ratio was 5.26x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $257,000, representing a 3.8% increase over the prior year. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 5.28% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $74,000, representing a 8.6% increase over the prior year. Management fees are calculated at 5.1% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.05% reflects the in-place income and the stabilized occupancy assumption. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $20 per square foot with parking at a ratio of 32 spaces per 1,000 square feet.

## Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 47 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 88.8% of billed charges, with bad debt of 4.0% of gross potential income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. Service requests are tracked through a work-order system with an average completion time of 46 hours.

## Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $20 per square foot with parking at a ratio of 33 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. The going-in capitalization rate of 7.07% reflects the in-place income and the stabilized occupancy assumption.

Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $20 per square foot with parking at a ratio of 7 spaces per 1,000 square feet.

## Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 3 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day. Service requests are tracked through a work-order system with an average completion time of 11 hours. Collections for the period were 93.4% of billed charges, with bad debt of 7.8% of gross potential income.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Collections for the period were 93.4% of billed charges, with bad debt of 4.2% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 36 hours.

## Financial Analysis

Debt service coverage ratio was 6.84x on a trailing basis against a covenant minimum of 1.20x. Average rent is $20 per square foot with parking at a ratio of 17 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period. The going-in capitalization rate of 6.92% reflects the in-place income and the stabilized occupancy assumption.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 5.05% reflects the in-place income and the stabilized occupancy assumption. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

## Leasing and Marketing

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| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4380 Water & Sewer | 19,467 | 20,290 | 21,566 | 20,964 | 19,714 | 21,680 | 20,057 | 21,254 | 21,539 | 20,316 | 20,187 | 20,770 | 247,803 |
| 4390 Telephone/Internet | 48,617 | 51,763 | 47,532 | 47,861 | 53,015 | 48,348 | 50,850 | 50,651 | 50,710 | 49,202 | 53,051 | 46,858 | 598,458 |
| 4400 Advertising | 19,552 | 19,946 | 21,368 | 20,619 | 18,739 | 21,419 | 19,577 | 18,634 | 19,254 | 21,168 | 18,742 | 19,967 | 238,985 |
| 4410 Resident Events | 85,420 | 78,824 | 85,196 | 81,955 | 79,411 | 88,675 | 78,277 | 88,086 | 81,938 | 83,200 | 78,587 | 79,962 | 989,530 |
| 4420 Office Supplies | 61,103 | 67,006 | 66,449 | 61,628 | 62,895 | 68,450 | 65,691 | 64,608 | 61,578 | 62,247 | 61,598 | 63,499 | 766,752 |
| 4430 Legal & Professional | 116,528 | 108,323 | 113,915 | 115,929 | 112,275 | 120,550 | 110,454 | 109,432 | 117,480 | 109,699 | 109,776 | 122,791 | 1,367,151 |
| 4440 Accounting & Audit | 112,902 | 115,803 | 116,230 | 111,739 | 118,301 | 115,384 | 122,071 | 122,852 | 110,930 | 117,075 | 121,089 | 108,136 | 1,392,511 |
| 4450 Licenses & Permits | 30,275 | 29,164 | 30,227 | 29,865 | 30,231 | 29,772 | 29,119 | 28,812 | 29,467 | 27,787 | 28,726 | 26,553 | 349,996 |
| 4460 Management Fee | 10,964 | 10,878 | 11,208 | 10,237 | 10,711 | 10,313 | 10,649 | 10,465 | 10,692 | 11,040 | 10,134 | 10,458 | 127,747 |
| 4470 Property Insurance | 100,404 | 105,294 | 108,895 | 99,950 | 107,528 | 100,289 | 97,119 | 107,347 | 97,660 | 106,739 | 101,025 | 103,399 | 1,235,649 |
| 4480 Real Estate Taxes | 48,562 | 53,806 | 49,982 | 53,528 | 48,434 | 47,489 | 53,688 | 50,162 | 47,690 | 52,604 | 49,476 | 48,458 | 603,879 |
| 4490 Asset Management Fee | 81,713 | 78,652 | 84,505 | 81,636 | 85,540 | 79,942 | 75,866 | 79,867 | 82,797 | 85,536 | 76,166 | 81,401 | 973,621 |
| 4500 Replacement Reserves | 75,391 | 81,966 | 81,209 | 74,972 | 72,852 | 78,029 | 76,512 | 72,740 | 72,326 | 78,971 | 77,518 | 76,754 | 919,241 |
| 4510 Roof Repairs | 100,520 | 99,581 | 97,311 | 93,063 | 96,580 | 97,315 | 102,176 | 94,532 | 101,064 | 99,101 | 98,630 | 99,769 | 1,179,643 |
| 4520 Parking Lot Repairs | 98,884 | 99,335 | 96,928 | 98,058 | 99,623 | 87,533 | 91,790 | 91,440 | 99,904 | 92,863 | 95,112 | 87,895 | 1,139,364 |
| 4530 Signage | 51,714 | 51,479 | 50,005 | 47,981 | 46,364 | 48,619 | 46,560 | 47,703 | 46,747 | 52,215 | 49,474 | 46,076 | 584,938 |
| 4540 Tenant Improvements | 99,758 | 100,496 | 97,458 | 98,107 | 98,149 | 97,670 | 104,053 | 92,687 | 95,206 | 103,411 | 97,643 | 102,466 | 1,187,104 |
| 4550 Leasing Commissions | 96,140 | 96,508 | 99,001 | 99,501 | 98,659 | 96,773 | 87,802 | 93,023 | 90,857 | 95,416 | 90,167 | 88,725 | 1,132,572 |
| 4000 Gross Potential Rent | 1,031,599 | 971,275 | 929,098 | 911,910 | 968,282 | 1,024,273 | 983,295 | 949,493 | 1,026,561 | 1,015,733 | 973,108 | 999,003 | 11,783,630 |
| 4010 Loss to Lease | 858,477 | 834,200 | 794,421 | 827,155 | 824,764 | 853,409 | 824,184 | 869,117 | 828,238 | 900,515 | 832,962 | 848,778 | 10,096,220 |
| 4020 Vacancy Loss | 594,684 | 611,609 | 633,610 | 645,749 | 649,735 | 649,833 | 660,919 | 644,874 | 598,319 | 601,453 | 594,019 | 653,523 | 7,538,327 |
| 4030 Concessions | 607,704 | 558,532 | 600,351 | 604,010 | 542,732 | 600,300 | 595,333 | 571,502 | 586,343 | 554,388 | 598,496 | 608,301 | 7,027,993 |
| 4040 Bad Debt | 716,542 | 716,051 | 735,153 | 711,367 | 762,823 | 772,433 | 774,646 | 735,939 | 778,107 | 779,502 | 740,457 | 743,548 | 8,966,568 |
| 4050 Late Fees | 131,098 | 127,787 | 123,447 | 131,440 | 134,648 | 139,183 | 137,329 | 131,582 | 135,149 | 140,011 | 136,754 | 126,747 | 1,595,174 |
| 4060 Utility Reimbursements | 281,813 | 282,355 | 280,413 | 290,807 | 273,062 | 289,810 | 285,544 | 254,890 | 264,470 | 275,617 | 277,380 | 284,518 | 3,340,677 |
| 4070 Parking Income | 26,801 | 27,314 | 27,398 | 26,550 | 26,350 | 28,975 | 28,108 | 29,234 | 27,750 | 27,393 | 26,716 | 27,820 | 330,408 |
| 4080 Application Fees | 723,468 | 769,242 | 736,428 | 759,680 | 758,357 | 727,796 | 707,017 | 700,920 | 778,089 | 745,411 | 698,484 | 749,215 | 8,854,106 |
| 4090 Pet Rent | 648,539 | 614,224 | 670,643 | 645,915 | 649,201 | 608,708 | 619,809 | 611,219 | 659,433 | 609,401 | 605,271 | 604,432 | 7,546,794 |
| 4100 Laundry Income | 104,671 | 106,190 | 119,843 | 114,468 | 104,584 | 115,577 | 116,305 | 107,245 | 107,670 | 112,165 | 104,741 | 106,727 | 1,320,185 |
| 4110 Cable/Internet Revenue | 515,892 | 478,562 | 526,560 | 489,364 | 498,259 | 481,087 | 510,441 | 527,723 | 545,295 | 535,820 | 529,063 | 543,733 | 6,181,799 |
| 4120 CAM Reimbursements | 386,720 | 413,977 | 439,474 | 406,543 | 422,546 | 407,773 | 423,220 | 395,619 | 432,871 | 414,154 | 411,714 | 423,086 | 4,977,698 |
| 4130 Tax Reimbursements | 553,236 | 576,612 | 564,583 | 596,924 | 591,016 | 564,891 | 556,692 | 615,999 | 583,110 | 602,020 | 587,358 | 577,686 | 6,970,127 |
| 4140 Insurance Reimbursements | 281,447 | 271,032 | 276,530 | 280,134 | 268,538 | 256,368 | 256,229 | 274,211 | 250,572 | 272,390 | 273,809 | 281,016 | 3,242,276 |
| 4150 Percentage Rent | 659,284 | 643,985 | 637,482 | 647,481 | 713,163 | 706,678 | 662,108 | 667,753 | 635,169 | 688,902 | 720,597 | 708,850 | 8,091,452 |
| 4160 Misc. Income | 472,816 | 478,857 | 448,269 | 462,441 | 438,551 | 472,858 | 423,090 | 444,462 | 449,463 | 428,442 | 460,110 | 434,288 | 5,413,647 |
| 4170 Payroll - Management | 15,270 | 15,606 | 15,245 | 16,417 | 15,240 | 17,188 | 15,496 | 16,168 | 17,022 | 15,713 | 15,826 | 16,049 | 191,241 |
| 4180 Payroll - Leasing | 34,985 | 34,891 | 39,359 | 34,706 | 34,835 | 34,375 | 37,799 | 39,101 | 34,522 | 34,351 | 38,811 | 37,154 | 434,890 |
| 4190 Payroll - Maintenance | 101,092 | 98,806 | 105,854 | 101,908 | 104,034 | 99,848 | 110,272 | 107,262 | 104,799 | 103,819 | 106,280 | 104,434 | 1,248,408 |
| 4200 Payroll Taxes & Benefits | 108,296 | 108,617 | 104,932 | 105,489 | 96,866 | 98,958 | 99,659 | 104,983 | 97,245 | 101,670 | 104,639 | 95,750 | 1,227,102 |
| 4210 Repairs - Plumbing | 23,714 | 23,382 | 21,679 | 23,185 | 23,470 | 22,983 | 23,207 | 23,132 | 22,191 | 23,051 | 22,033 | 22,894 | 274,922 |
| 4220 Repairs - HVAC | 39,893 | 44,933 | 42,370 | 39,352 | 41,405 | 39,648 | 43,549 | 40,945 | 44,987 | 41,935 | 44,997 | 42,224 | 506,238 |
| 4230 Repairs - Electrical | 43,978 | 44,495 | 48,634 | 45,260 | 43,565 | 46,160 | 43,508 | 43,631 | 45,747 | 47,261 | 46,239 | 47,980 | 546,458 |
| 4240 Repairs - Appliances | 100,816 | 97,286 | 103,153 | 93,739 | 95,771 | 96,906 | 101,610 | 97,189 | 90,419 | 95,258 | 91,174 | 102,598 | 1,165,918 |
| 4250 Painting & Decorating | 49,161 | 44,048 | 47,064 | 47,178 | 44,318 | 45,181 | 43,970 | 47,428 | 45,765 | 48,314 | 46,327 | 44,211 | 552,964 |
| 4260 Flooring | 39,846 | 39,938 | 44,586 | 41,454 | 40,228 | 42,787 | 43,471 | 45,242 | 43,583 | 42,450 | 39,945 | 39,433 | 502,961 |
| 4270 Make-Ready / Turnover | 103,015 | 100,422 | 101,728 | 105,681 | 108,816 | 107,687 | 95,533 | 104,057 | 95,302 | 99,358 | 98,558 | 102,878 | 1,223,035 |
| 4280 Landscaping Contract | 62,784 | 64,290 | 70,784 | 67,791 | 69,976 | 67,769 | 62,631 | 67,241 | 71,212 | 65,193 | 69,402 | 68,313 | 807,386 |

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## Income and Expense Review

Operating expenses totaled $60,000 or approximately 8.45 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.12x on a trailing basis against a covenant minimum of 1.20x. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $20 per square foot with parking at a ratio of 14 spaces per 1,000 square feet. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses.

## Property Operations

Service requests are tracked through a work-order system with an average completion time of 34 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $20 per square foot with parking at a ratio of 3 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

## Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. Operating expenses totaled $163,000 or approximately 28.85 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Effective gross income for the trailing period was $149,000, representing a 3.1% increase over the prior year.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. Effective gross income for the trailing period was $333,000, representing a 13.5% increase over the prior year. Debt service coverage ratio was 6.26x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

## Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 13 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 27 hours. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average rent is $20 per square foot with parking at a ratio of 12 spaces per 1,000 square feet.

Average rent is $20 per square foot with parking at a ratio of 24 spaces per 1,000 square feet. Collections for the period were 92.9% of billed charges, with bad debt of 4.9% of gross potential income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day. Service requests are tracked through a work-order system with an average completion time of 31 hours.

## Valuation Discussion

Operating expenses totaled $43,000 or approximately 40.87 per square foot, with real estate taxes representing the largest line item. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period. Debt service coverage ratio was 5.55x on a trailing basis against a covenant minimum of 1.20x. Average rent is $20 per square foot with parking at a ratio of 42 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Effective gross income for the trailing period was $187,000, representing a 4.7% increase over the prior year. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $20 per square foot with parking at a ratio of 5 spaces per 1,000 square feet. Management fees are calculated at 4.1% of collected revenue and are included in operating expenses.

## Management Commentary

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4200 Payroll Taxes & Benefits | 47,441 | 49,373 | 51,002 | 49,604 | 48,659 | 51,312 | 46,780 | 48,346 | 48,748 | 47,217 | 47,159 | 48,537 | 584,180 |
| 4210 Repairs - Plumbing | 23,923 | 25,324 | 26,419 | 24,936 | 26,196 | 24,087 | 24,574 | 24,156 | 24,664 | 24,782 | 23,970 | 25,049 | 298,078 |
| 4220 Repairs - HVAC | 21,034 | 20,748 | 21,241 | 20,511 | 22,850 | 22,876 | 22,098 | 22,412 | 21,221 | 22,935 | 20,694 | 22,515 | 261,135 |
| 4230 Repairs - Electrical | 17,358 | 17,588 | 17,584 | 17,069 | 17,896 | 17,930 | 16,287 | 16,850 | 18,331 | 16,884 | 17,813 | 16,915 | 208,504 |
| 4240 Repairs - Appliances | 46,185 | 47,126 | 48,289 | 50,116 | 47,435 | 46,737 | 51,117 | 52,492 | 46,787 | 49,154 | 51,349 | 51,225 | 588,012 |
| 4250 Painting & Decorating | 26,759 | 26,689 | 24,704 | 25,988 | 24,179 | 26,303 | 26,436 | 24,441 | 26,822 | 23,479 | 26,186 | 24,908 | 306,894 |
| 4260 Flooring | 28,644 | 27,824 | 29,323 | 26,247 | 26,809 | 28,498 | 26,963 | 28,760 | 27,144 | 29,392 | 25,696 | 27,461 | 332,762 |
| 4270 Make-Ready / Turnover | 44,361 | 43,769 | 46,679 | 47,857 | 46,829 | 45,797 | 44,095 | 46,182 | 47,088 | 48,934 | 45,701 | 47,608 | 554,898 |
| 4280 Landscaping Contract | 56,608 | 57,101 | 57,116 | 52,223 | 50,270 | 56,306 | 51,489 | 56,822 | 54,183 | 54,547 | 50,504 | 55,210 | 652,378 |
| 4290 Snow Removal | 26,786 | 23,698 | 25,044 | 24,547 | 25,353 | 25,950 | 25,563 | 24,300 | 25,449 | 26,064 | 24,293 | 25,756 | 302,804 |
| 4300 Janitorial | 24,254 | 24,051 | 23,693 | 22,963 | 23,548 | 23,515 | 21,374 | 22,338 | 22,691 | 23,119 | 22,877 | 22,943 | 277,365 |
| 4310 Pest Control | 69,246 | 66,133 | 67,097 | 69,137 | 72,111 | 70,945 | 74,967 | 73,856 | 73,415 | 71,939 | 71,053 | 67,616 | 847,515 |
| 4320 Trash Removal | 65,066 | 70,548 | 71,151 | 66,478 | 64,037 | 66,067 | 71,992 | 63,936 | 67,769 | 73,130 | 66,593 | 69,056 | 815,821 |
| 4330 Elevator Contract | 36,655 | 37,918 | 38,810 | 36,323 | 37,666 | 36,775 | 36,890 | 36,392 | 36,181 | 38,843 | 34,849 | 38,249 | 445,552 |
| 4340 Fire & Life Safety | 108,221 | 107,032 | 115,429 | 115,558 | 120,190 | 113,253 | 106,576 | 117,572 | 107,096 | 118,916 | 120,351 | 115,565 | 1,365,761 |
| 4350 Security | 10,761 | 9,890 | 11,014 | 9,878 | 10,298 | 11,012 | 11,035 | 11,040 | 10,055 | 10,197 | 10,227 | 10,882 | 126,289 |
| 4360 Electricity - Common | 78,894 | 89,128 | 83,818 | 87,044 | 80,220 | 84,157 | 86,351 | 82,243 | 79,279 | 88,682 | 88,537 | 86,778 | 1,015,131 |
| 4370 Gas - Common | 33,174 | 31,071 | 31,515 | 30,988 | 30,412 | 33,216 | 34,030 | 32,005 | 30,995 | 33,153 | 32,157 | 32,775 | 385,493 |
| 4380 Water & Sewer | 52,873 | 52,562 | 49,997 | 53,750 | 47,222 | 47,597 | 48,479 | 50,715 | 47,278 | 48,845 | 53,405 | 52,798 | 605,522 |
| 4390 Telephone/Internet | 106,365 | 104,071 | 109,008 | 108,557 | 103,612 | 103,524 | 112,854 | 112,389 | 113,085 | 109,399 | 102,328 | 112,214 | 1,297,405 |
| 4400 Advertising | 38,306 | 36,277 | 37,498 | 35,184 | 36,107 | 34,413 | 33,869 | 33,892 | 38,732 | 35,864 | 36,851 | 35,331 | 432,324 |
| 4410 Resident Events | 41,723 | 42,514 | 42,060 | 43,057 | 45,823 | 46,259 | 44,197 | 43,617 | 42,566 | 46,394 | 41,242 | 43,736 | 523,189 |
| 4420 Office Supplies | 73,120 | 77,812 | 74,297 | 71,492 | 75,784 | 73,114 | 76,643 | 79,679 | 75,716 | 71,202 | 77,074 | 71,502 | 897,435 |
| 4430 Legal & Professional | 35,234 | 38,630 | 36,254 | 35,571 | 37,934 | 37,724 | 35,283 | 36,254 | 35,651 | 38,683 | 37,743 | 37,092 | 442,054 |
| 4440 Accounting & Audit | 35,404 | 36,401 | 36,295 | 36,260 | 38,359 | 38,142 | 35,147 | 36,939 | 38,368 | 35,031 | 37,234 | 36,039 | 439,618 |
| 4450 Licenses & Permits | 101,825 | 94,725 | 94,283 | 106,531 | 99,081 | 94,650 | 101,747 | 96,849 | 95,090 | 106,227 | 97,199 | 94,156 | 1,182,363 |
| 4460 Management Fee | 26,734 | 24,899 | 25,231 | 26,915 | 25,824 | 25,598 | 25,444 | 25,576 | 27,001 | 27,419 | 26,492 | 28,067 | 315,201 |
| 4470 Property Insurance | 62,282 | 68,674 | 64,064 | 63,464 | 63,872 | 66,398 | 67,404 | 68,316 | 67,466 | 68,033 | 66,727 | 69,278 | 795,979 |
| 4480 Real Estate Taxes | 17,844 | 18,106 | 18,296 | 18,253 | 18,953 | 19,068 | 18,696 | 18,220 | 20,295 | 20,291 | 18,930 | 18,338 | 225,290 |
| 4490 Asset Management Fee | 60,658 | 66,513 | 65,525 | 59,827 | 63,649 | 60,786 | 67,308 | 60,594 | 66,388 | 61,919 | 67,198 | 63,710 | 764,075 |
| 4500 Replacement Reserves | 95,914 | 92,862 | 102,201 | 93,735 | 97,803 | 94,461 | 101,062 | 90,978 | 95,536 | 98,772 | 99,194 | 99,620 | 1,162,139 |
| 4510 Roof Repairs | 32,878 | 31,891 | 31,849 | 34,915 | 32,065 | 36,522 | 34,298 | 35,888 | 36,184 | 33,199 | 35,749 | 33,036 | 408,475 |
| 4520 Parking Lot Repairs | 58,213 | 57,025 | 55,417 | 60,419 | 54,772 | 59,300 | 62,073 | 55,752 | 55,230 | 56,073 | 58,853 | 60,409 | 693,535 |
| 4530 Signage | 119,609 | 113,583 | 116,931 | 122,157 | 115,953 | 115,946 | 122,320 | 117,797 | 114,053 | 109,281 | 109,151 | 120,597 | 1,397,379 |
| 4540 Tenant Improvements | 47,618 | 43,352 | 45,900 | 44,614 | 44,952 | 48,210 | 47,221 | 46,147 | 48,867 | 46,515 | 48,765 | 48,815 | 560,976 |
| 4550 Leasing Commissions | 77,373 | 73,181 | 72,237 | 71,975 | 72,677 | 71,141 | 77,776 | 69,343 | 75,253 | 70,147 | 78,542 | 72,786 | 882,432 |
| 4000 Gross Potential Rent | 1,016,535 | 972,901 | 1,024,403 | 913,633 | 935,794 | 950,092 | 914,602 | 999,227 | 967,240 | 971,466 | 935,396 | 951,165 | 11,552,453 |
| 4010 Loss to Lease | 819,369 | 819,020 | 823,382 | 811,153 | 886,281 | 881,785 | 821,644 | 778,330 | 865,697 | 857,142 | 820,638 | 817,935 | 10,002,376 |
| 4020 Vacancy Loss | 775,435 | 740,586 | 750,264 | 683,009 | 766,459 | 748,999 | 682,586 | 704,180 | 682,873 | 724,991 | 721,335 | 760,976 | 8,741,690 |
| 4030 Concessions | 475,565 | 428,901 | 460,767 | 441,332 | 440,349 | 456,526 | 466,350 | 468,979 | 454,012 | 461,264 | 461,233 | 430,844 | 5,446,121 |
| 4040 Bad Debt | 308,901 | 281,202 | 295,413 | 306,840 | 282,792 | 291,452 | 303,801 | 293,539 | 299,958 | 276,834 | 310,017 | 274,891 | 3,525,642 |
| 4050 Late Fees | 409,289 | 437,215 | 380,346 | 400,886 | 420,037 | 393,212 | 388,733 | 405,589 | 411,103 | 431,501 | 428,689 | 407,651 | 4,914,252 |
| 4060 Utility Reimbursements | 387,255 | 422,317 | 418,951 | 398,565 | 419,580 | 432,139 | 415,401 | 418,706 | 390,783 | 377,332 | 420,527 | 396,217 | 4,897,775 |
| 4070 Parking Income | 384,754 | 357,734 | 366,559 | 376,493 | 388,415 | 391,560 | 408,131 | 378,577 | 381,835 | 395,590 | 377,709 | 369,701 | 4,577,059 |

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## Income and Expense Review

Average rent is $20 per square foot with parking at a ratio of 18 spaces per 1,000 square feet. Effective gross income for the trailing period was $408,000, representing a 3.4% increase over the prior year. Debt service coverage ratio was 7.00x on a trailing basis against a covenant minimum of 1.20x. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Operating expenses totaled $357,000 or approximately 9.04 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $20 per square foot with parking at a ratio of 45 spaces per 1,000 square feet. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses.

## Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 18th business day. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 28 hours.

Service requests are tracked through a work-order system with an average completion time of 29 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

## Operating Performance

The going-in capitalization rate of 7.72% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The going-in capitalization rate of 6.92% reflects the in-place income and the stabilized occupancy assumption.

## Property Operations

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Collections for the period were 91.3% of billed charges, with bad debt of 6.1% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Collections for the period were 90.2% of billed charges, with bad debt of 6.4% of gross potential income. Average rent is $20 per square foot with parking at a ratio of 6 spaces per 1,000 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

## Valuation Discussion

Effective gross income for the trailing period was $35,000, representing a 3.2% increase over the prior year. Operating expenses totaled $378,000 or approximately 21.32 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.63% reflects the in-place income and the stabilized occupancy assumption.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Effective gross income for the trailing period was $317,000, representing a 6.7% increase over the prior year. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

## Property Operations

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4080 Application Fees | 237,261 | 223,166 | 252,013 | 231,110 | 221,323 | 242,157 | 238,294 | 248,009 | 253,054 | 233,208 | 230,595 | 229,158 | 2,839,346 |
| 4090 Pet Rent | 442,376 | 440,589 | 425,591 | 454,708 | 428,747 | 418,550 | 416,650 | 452,377 | 450,451 | 442,768 | 440,796 | 459,482 | 5,273,085 |
| 4100 Laundry Income | 316,481 | 328,782 | 321,234 | 328,318 | 321,584 | 316,836 | 345,559 | 309,494 | 346,526 | 351,486 | 316,206 | 332,582 | 3,935,088 |
| 4110 Cable/Internet Revenue | 60,016 | 59,488 | 60,899 | 58,749 | 58,129 | 59,666 | 56,732 | 61,534 | 57,284 | 56,102 | 58,190 | 54,257 | 701,046 |
| 4120 CAM Reimbursements | 10,684 | 11,553 | 10,168 | 11,076 | 11,477 | 10,399 | 10,132 | 11,178 | 10,672 | 10,284 | 10,231 | 11,607 | 129,461 |
| 4130 Tax Reimbursements | 740,100 | 763,727 | 757,961 | 758,797 | 769,342 | 752,186 | 734,250 | 736,938 | 774,975 | 732,852 | 760,122 | 686,138 | 8,967,388 |
| 4140 Insurance Reimbursements | 180,587 | 171,156 | 173,377 | 165,741 | 176,588 | 180,894 | 187,608 | 166,396 | 172,745 | 174,618 | 182,913 | 164,513 | 2,097,136 |
| 4150 Percentage Rent | 279,042 | 271,242 | 271,277 | 309,351 | 294,324 | 283,686 | 303,395 | 288,599 | 293,213 | 272,957 | 288,667 | 301,804 | 3,457,558 |
| 4160 Misc. Income | 556,784 | 637,289 | 589,843 | 625,626 | 598,127 | 573,893 | 628,080 | 594,060 | 594,474 | 615,340 | 635,229 | 586,071 | 7,234,817 |
| 4170 Payroll - Management | 86,875 | 87,178 | 87,507 | 91,616 | 89,764 | 92,192 | 94,722 | 82,925 | 84,846 | 93,203 | 88,569 | 88,548 | 1,067,943 |
| 4180 Payroll - Leasing | 63,587 | 67,751 | 65,638 | 64,809 | 61,784 | 65,326 | 67,398 | 60,785 | 63,895 | 59,861 | 63,906 | 59,778 | 764,517 |
| 4190 Payroll - Maintenance | 42,729 | 38,535 | 41,309 | 41,320 | 41,546 | 38,503 | 42,554 | 42,738 | 41,084 | 41,940 | 38,461 | 40,551 | 491,272 |
| 4200 Payroll Taxes & Benefits | 25,839 | 24,877 | 25,238 | 25,862 | 28,208 | 28,143 | 25,054 | 26,758 | 27,009 | 28,378 | 27,947 | 25,892 | 319,205 |
| 4210 Repairs - Plumbing | 90,453 | 92,065 | 84,029 | 85,788 | 89,864 | 85,502 | 87,880 | 90,458 | 81,010 | 91,496 | 92,085 | 86,638 | 1,057,267 |
| 4220 Repairs - HVAC | 20,888 | 22,072 | 20,902 | 21,172 | 20,407 | 20,452 | 21,620 | 20,497 | 21,299 | 22,113 | 19,675 | 20,752 | 251,849 |
| 4230 Repairs - Electrical | 18,455 | 19,456 | 18,860 | 19,701 | 17,596 | 18,089 | 18,870 | 19,165 | 20,086 | 19,641 | 17,697 | 17,572 | 225,188 |
| 4240 Repairs - Appliances | 46,772 | 50,207 | 48,580 | 46,395 | 44,638 | 46,950 | 49,855 | 46,356 | 44,429 | 48,507 | 46,153 | 45,248 | 564,091 |
| 4250 Painting & Decorating | 47,538 | 52,226 | 48,139 | 52,754 | 51,802 | 50,802 | 48,298 | 47,201 | 48,648 | 47,574 | 53,059 | 46,704 | 594,745 |
| 4260 Flooring | 76,127 | 71,832 | 69,218 | 69,299 | 72,430 | 68,022 | 73,861 | 69,685 | 76,897 | 70,443 | 68,884 | 70,730 | 857,430 |
| 4270 Make-Ready / Turnover | 34,081 | 35,434 | 33,658 | 36,076 | 35,910 | 32,927 | 32,324 | 35,570 | 35,995 | 36,970 | 33,074 | 36,690 | 418,709 |
| 4280 Landscaping Contract | 31,055 | 33,141 | 31,855 | 34,035 | 34,189 | 33,253 | 32,464 | 31,034 | 34,920 | 35,501 | 31,200 | 34,526 | 397,171 |
| 4290 Snow Removal | 28,727 | 27,549 | 28,643 | 27,700 | 29,989 | 29,999 | 27,378 | 29,435 | 30,141 | 27,867 | 29,915 | 29,027 | 346,368 |
| 4300 Janitorial | 71,212 | 72,218 | 70,573 | 77,006 | 77,608 | 77,011 | 77,392 | 73,644 | 79,902 | 73,421 | 73,989 | 73,597 | 897,573 |
| 4310 Pest Control | 24,722 | 23,504 | 26,042 | 24,518 | 24,366 | 25,880 | 25,016 | 26,153 | 24,033 | 26,197 | 25,394 | 26,381 | 302,207 |
| 4320 Trash Removal | 107,680 | 106,800 | 107,671 | 106,830 | 113,547 | 117,292 | 110,586 | 109,436 | 113,379 | 104,748 | 115,171 | 107,529 | 1,320,669 |
| 4330 Elevator Contract | 51,922 | 51,009 | 52,813 | 55,151 | 51,680 | 55,852 | 52,914 | 55,918 | 52,107 | 56,081 | 52,526 | 49,984 | 637,957 |
| 4340 Fire & Life Safety | 88,879 | 96,059 | 91,974 | 92,039 | 84,883 | 86,118 | 84,979 | 85,763 | 92,736 | 94,822 | 88,050 | 94,840 | 1,081,142 |
| 4350 Security | 104,105 | 106,402 | 109,838 | 100,900 | 102,090 | 100,942 | 99,473 | 102,056 | 106,943 | 111,083 | 103,431 | 106,741 | 1,254,005 |
| 4360 Electricity - Common | 20,220 | 20,616 | 21,383 | 22,449 | 19,880 | 22,176 | 21,424 | 20,979 | 21,159 | 22,749 | 22,525 | 20,854 | 256,413 |
| 4370 Gas - Common | 68,239 | 75,238 | 73,918 | 70,327 | 74,792 | 69,919 | 74,337 | 71,354 | 75,367 | 72,529 | 77,773 | 75,454 | 879,246 |
| 4380 Water & Sewer | 105,934 | 103,843 | 102,615 | 111,943 | 107,959 | 99,792 | 101,172 | 111,980 | 100,303 | 107,337 | 105,531 | 99,011 | 1,257,421 |
| 4390 Telephone/Internet | 92,018 | 90,779 | 92,715 | 94,601 | 93,528 | 101,274 | 98,599 | 91,871 | 102,037 | 103,154 | 97,202 | 99,507 | 1,157,284 |
| 4400 Advertising | 69,412 | 74,845 | 75,356 | 75,441 | 75,119 | 78,087 | 76,957 | 71,171 | 75,092 | 75,060 | 72,560 | 78,518 | 897,617 |
| 4410 Resident Events | 69,537 | 65,437 | 68,884 | 63,733 | 67,808 | 66,290 | 69,943 | 69,451 | 64,414 | 69,281 | 64,549 | 68,120 | 807,447 |
| 4420 Office Supplies | 116,632 | 111,744 | 112,901 | 110,221 | 116,091 | 115,527 | 107,190 | 106,567 | 109,523 | 114,928 | 113,077 | 114,886 | 1,349,286 |
| 4430 Legal & Professional | 52,572 | 58,073 | 54,026 | 53,845 | 58,736 | 58,828 | 52,778 | 54,897 | 54,019 | 55,894 | 55,070 | 56,866 | 665,602 |
| 4440 Accounting & Audit | 100,726 | 103,053 | 96,606 | 97,591 | 100,868 | 97,463 | 103,622 | 101,830 | 93,408 | 96,058 | 94,097 | 100,229 | 1,185,552 |
| 4450 Licenses & Permits | 21,852 | 20,111 | 22,208 | 20,849 | 20,219 | 21,002 | 22,047 | 19,509 | 21,607 | 20,556 | 20,643 | 19,500 | 250,102 |
| 4460 Management Fee | 92,287 | 93,497 | 102,176 | 97,251 | 94,059 | 93,538 | 95,869 | 91,671 | 92,646 | 95,247 | 92,473 | 96,794 | 1,137,507 |
| 4470 Property Insurance | 118,942 | 112,301 | 120,207 | 109,952 | 105,899 | 113,533 | 106,164 | 116,877 | 109,967 | 118,087 | 110,256 | 105,900 | 1,348,083 |
| 4480 Real Estate Taxes | 20,845 | 22,057 | 20,006 | 20,921 | 22,009 | 21,250 | 22,441 | 22,484 | 20,353 | 22,112 | 21,750 | 20,482 | 256,711 |
| 4490 Asset Management Fee | 71,640 | 67,407 | 71,403 | 64,845 | 67,699 | 63,063 | 67,085 | 67,618 | 67,908 | 71,123 | 66,400 | 66,033 | 812,223 |
| 4500 Replacement Reserves | 108,836 | 113,884 | 100,013 | 104,009 | 110,031 | 104,368 | 109,378 | 100,150 | 102,674 | 104,861 | 106,348 | 101,884 | 1,266,437 |
| 4510 Roof Repairs | 32,558 | 33,451 | 35,992 | 35,252 | 32,455 | 33,798 | 35,744 | 34,271 | 35,725 | 33,780 | 34,990 | 32,625 | 410,640 |

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## Operating Performance

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $20 per square foot with parking at a ratio of 48 spaces per 1,000 square feet. Effective gross income for the trailing period was $233,000, representing a 7.7% increase over the prior year. Debt service coverage ratio was 8.01x on a trailing basis against a covenant minimum of 1.20x.

Management fees are calculated at 3.0% of collected revenue and are included in operating expenses. Operating expenses totaled $58,000 or approximately 6.72 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.52% reflects the in-place income and the stabilized occupancy assumption. Average rent is $20 per square foot with parking at a ratio of 48 spaces per 1,000 square feet.

## Property Operations

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members. Service requests are tracked through a work-order system with an average completion time of 3 hours. Collections for the period were 93.6% of billed charges, with bad debt of 3.6% of gross potential income.

Collections for the period were 96.7% of billed charges, with bad debt of 4.1% of gross potential income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 3 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members.

## Financial Analysis

Average rent is $20 per square foot with parking at a ratio of 5 spaces per 1,000 square feet. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.11x on a trailing basis against a covenant minimum of 1.20x.

Debt service coverage ratio was 7.26x on a trailing basis against a covenant minimum of 1.20x. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Effective gross income for the trailing period was $241,000, representing a 13.5% increase over the prior year. Average rent is $20 per square foot with parking at a ratio of 12 spaces per 1,000 square feet.

## Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 42 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 26 additional team members. Average rent is $20 per square foot with parking at a ratio of 3 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 40th business day.

Service requests are tracked through a work-order system with an average completion time of 25 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 96.9% of billed charges, with bad debt of 4.8% of gross potential income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $20 per square foot with parking at a ratio of 22 spaces per 1,000 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

## Income and Expense Review

Management fees are calculated at 6.2% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.8% over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Operating expenses totaled $300,000 or approximately 10.93 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. The going-in capitalization rate of 8.00% reflects the in-place income and the stabilized occupancy assumption. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Debt service coverage ratio was 5.19x on a trailing basis against a covenant minimum of 1.20x. Average rent is $20 per square foot with parking at a ratio of 36 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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# Summary and Notes

## Operating Performance

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Average rent is $20 per square foot with parking at a ratio of 11 spaces per 1,000 square feet.

The going-in capitalization rate of 7.85% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. Debt service coverage ratio was 6.77x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $101,000, representing a 2.3% increase over the prior year.

## Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 6 hours. Average rent is $20 per square foot with parking at a ratio of 3 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 24th business day. Service requests are tracked through a work-order system with an average completion time of 24 hours. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $20 per square foot with parking at a ratio of 45 spaces per 1,000 square feet.

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